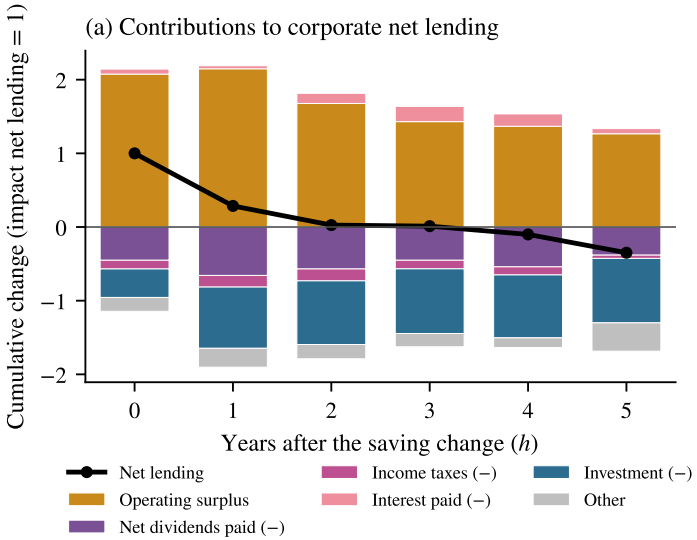
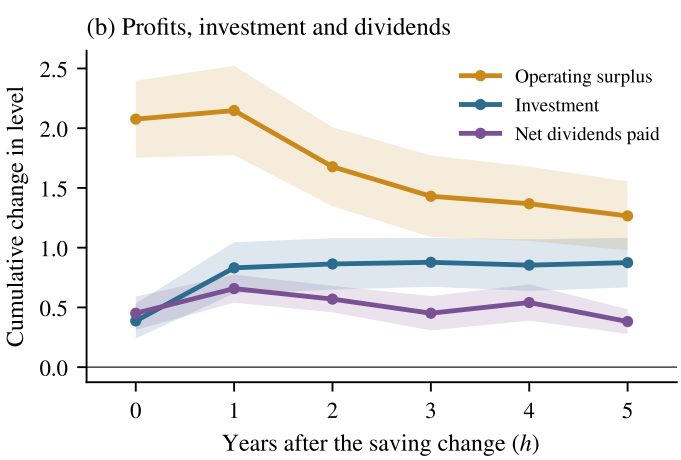
Firms spend a profit windfall on investment and dividends





Notes: Same local projections as the persistence figure, with each item of the corporate account as the outcome (cumulative change from year −1, percent of GNI), scaled by the impact response of corporate net lending; country-years with all items observed. (a) Outlays enter with a negative sign; 'Other' is the remainder (property income received other than dividends, capital transfers, discrepancies). (b) Levels of selected items with 68 percent bands (country-cluster delta method).